

Amendment No. 1 to HB2353

Terry
Signature of Sponsor

AMEND Senate Bill No. 2198*

House Bill No. 2353

by deleting all language after the enacting clause and substituting:

SECTION 1. This act is known and may be cited as the "Subsidy Accountability and Fraud Evaluation (SAFE) for Kids Act."

SECTION 2. Tennessee Code Annotated, Title 71, Chapter 1, Part 1, is amended by adding the following as a new section:

71-1-128. Child care payment integrity pilot program.

(a) As used in this section:

(1) "Artificial intelligence" means a machine-based system that can, for a given set of human-defined objectives, make predictions, recommendations, or decisions influencing real or virtual environments and that is capable of using machine and human-based inputs to perceive real and virtual environments, abstract such perceptions into models through analysis in an automated manner, and use model inference to formulate options for information or action;

(2) "Child care agency" has the same meaning as defined in § 71-3-501;
and

(3) "Participating child care provider" means a child care agency that participates in the child care payment assistance program administered by the department.

(b) The commissioner shall establish a pilot program to strengthen payment integrity, fraud detection, and oversight of publicly funded child care payment assistance payments.

(c) The commissioner, or the commissioner's designee within the department, shall administer the pilot program. The director of TennCare shall provide pilot program assistance to the commissioner upon request.

(d) The commissioner shall strive to ensure that the pilot program utilizes:

(1) Fraud detection analytics that are augmented with child care-specific signals, including attendance pattern data from child care management solutions used by participating child care providers, state licensing data, and child care consumer demand data compiled through child care search tools and third-party relationships;

(2) Software tools and methodologies commonly employed to provide oversight on fraud and abuse by identifying anomalous payment patterns, billing irregularities, or other indicators;

(3) Other available technology that enables the tracking of attendance, matching attendance records with payment records; and

(4) Artificial intelligence to identify payment abnormalities.

(e) The pilot program begins July 1, 2026, and ends June 30, 2028.

(f)

(1) It is the intent of the general assembly that the pilot program be funded using available reserve funds held by the bureau of TennCare that are designated for actuarial stabilization, payment integrity, or program oversight purposes.

(2) This section does not require a new or recurring state appropriation or the use of federal medicaid matching funds.

(g)

(1) The commissioner shall enter an agreement with a qualified third-party analytics or oversight vendor in accordance with state procurement law to support payment integrity functions under this section.

(2) The vendor selected must demonstrate:

(A) Experience in operating a child care management solution that allows for attendance tracking in child care programs, administration of state child care subsidy systems, and development of child care search tools; and

(B) The ability to implement a fraud detection solution on or before the pilot program start date.

(h) The commissioner shall ensure that any analytics or decision-making support tools used with the pilot program under this section are advisory in nature and do not independently determine eligibility, provider participation, or enforcement actions.

(i)

(1) No later than July 31, 2027, the commissioner shall compile a progress report on the first twelve (12) months of the pilot program which contains such data and information as the commissioner determines relevant to include, and submit a copy of the report to the chief clerk of the senate, the chief clerk of the house of representatives, and the legislative librarian.

(2) No later than July 31, 2028, the commissioner shall compile a final report on the pilot program which contains the commissioner's findings regarding program effectiveness and cost savings and any recommendations for the general assembly, and submit a copy of the report to the chief clerk of the senate, the chief clerk of the house of representatives, and the legislative librarian.

SECTION 3. The commissioner of human services is authorized to promulgate rules to effectuate this act. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 4. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the heading in any compilation or publication containing this act.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.